Type MS · Quality, quality control and competitive advantage

Answer 1 of 17 · Question 2 part e · 3 marks

2023 NOV · Paper 02 · extract 1 of 7 · find part e in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for one task that the human resources would carry out at *Kraft Heinz* when recruiting an employee in the context of the business. • Human resources would carry out interviews to recruit a Graphic Designer for the new baked beans advertisement **(1)** • It would look after the welfare of employees working in the tomato sauce factory **(1)** **NB** Do not accept a reason that is not in the context of *Kraft Heinz.* **Accept any other appropriate response.**	**(1)**

Question Number	State **one** financial objective *Kraft Heinz* might have. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a financial objective *Kraft Heinz* might have in the context of the business. • *Kraft Heinz* might want to increase its profit by increasing the number of different sauces they sell **(1)** • *Kraft Heinz* may want to increase its market share by introducing new products such as cool whip to New Zealand **(1)** **NB** Do not accept a financial objective that is not in the context of *Kraft Heinz* **Accept any other appropriate response.**	**(1)**

Type MS · Quality, quality control and competitive advantage

Answer 1 of 17 · Question 2 part e · 3 marks

2023 NOV · Paper 02 · extract 2 of 7 · find part e in this mark scheme extract

Question Number	Explain **one** reason why some businesses use crowdfunding as a source of finance. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for a reason why some businesses use crowdfunding as a source of finance plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Using crowdfunding can be a fast way to raise finance **(1)** from many investors **(1)** who may do this for the success of the business **(1)** • Crowdfunding is organised online **(1)** and can come from anywhere in the world **(1)** giving access to a wide number of investors **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why some businesses use crowdfunding as a source of finance, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Quality, quality control and competitive advantage

Answer 1 of 17 · Question 2 part e · 3 marks

2023 NOV · Paper 02 · extract 3 of 7 · find part e in this mark scheme extract

Question Number	Explain **one** disadvantage to a business of using retained profits to purchase goods and services. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a disadvantage to a business of using retained profit to purchase goods and services, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • Using retained profit reduces the amount of funds available for the business to use. **(1)** If there is an emergency where funds are needed such as a machine breaking down **(1)** the business may not have the funds to get it repaired **(1)** • By using its retained profit to purchase new machinery **(1)** the business may not have the funds **(1)** to pay the rent or wages of employees **(1)** **NB** No marks are awarded for a definition. Answers that list three disadvantages to a business of using retained profits to purchase goods and services, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Quality, quality control and competitive advantage

Answer 1 of 17 · Question 2 part e · 3 marks

2023 NOV · Paper 02 · extract 4 of 7 · find part e in this mark scheme extract

Question Number	Explain **one** reason why the quality of goods manufactured by a business is important to its success. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why the quality of goods manufactured by a business is important to its success plus 2 further marks for explaining why, for a maximum of 3 marks. • Manufacturing quality goods can lead to a good reputation for the business **(1)** thus encouraging more people to purchase the goods **(1)** which increases the sales for the business **(1)** • Increased competition from other businesses is why quality is important **(1)** the higher the quality of goods can increase customer purchases **(1)** which will then increases the profits of the business **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons of why the quality of goods manufactured by a business is important to its success with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Quality, quality control and competitive advantage

Answer 1 of 17 · Question 2 part e · 3 marks

2023 NOV · Paper 02 · extract 5 of 7 · find part e in this mark scheme extract

Question Number	*Kraft Heinz* constantly aims to promote its products to encourage people to increase sales. To do this *Kraft Heinz* is considering using the following techniques. **Option 1**: sponsorship of a local charity **Option 2:** increasing the number of special offers. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – By sponsoring a local charity such as Animal Rescue gains *Kraft Heinz* publicity and involvement in the local community • **Option 2** – By increasing the special offers for its sauces it may encourage more people to purchase its products **AO3** • **Option 1** – Customers seeing notices of the charity event may then want to support *Kraft Heinz* • **Option 2** – This improves its sales and keeps *Kraft Heinz* ahead of its competitors **AO4** • **Option 1** – However, there is no guarantee that because an event has been sponsored by *Kraft Heinz* people will purchase its products • **Option 2** – However, special offers may help increase sales but they can cost *Kraft Heinz* additional costs which might not be recovered	**(9)**

Type MS · Quality, quality control and competitive advantage

Answer 1 of 17 · Question 2 part e · 3 marks

2023 NOV · Paper 02 · extract 6 of 7 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Quality, quality control and competitive advantage

Answer 1 of 17 · Question 2 part e · 3 marks

2023 NOV · Paper 02 · extract 7 of 7 · find part e in this mark scheme extract

Question Number	Define the term **public limited company.** **Answer**	Mark

Type MS · Quality, quality control and competitive advantage

Answer 2 of 17 · Question 2 part a · 1 mark

2021 NOV · Paper 01 · extract 1 of 5 · find part a in this mark scheme extract

Question Number	Answer	Mark
2 (a)	**A02 - 1 mark** Award 1 mark for a valid reason why *Artify Studio* would want to offer a high-quality service in the context of the business. • To encourage customers to come back and try other art sessions on offer **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (b)	**A02 - 1 mark** Award 1 mark for a valid advantage of using part-time employees in the context of the business. • It allows for flexibility when the studio is quiet and courses are not full **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a benefit to a business of being a partnership, plus 2 further marks for explaining this benefit for a business, for a maximum of 3 marks. • The business gains investment from each partner **(1)** increasing the capital available to the partnership **(1)** which can help the business to expand **(1).** **NB** Answers that list three benefits of being a partnership with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Quality, quality control and competitive advantage

Answer 2 of 17 · Question 2 part a · 1 mark

2021 NOV · Paper 01 · extract 2 of 5 · find part a in this mark scheme extract

Question Number	Answer	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of a way social media can be used by a business, plus 2 further marks for explaining this way, for a maximum of 3 marks. • Creating a targeted advertising campaign **(1)** where the business can send a specific advert to a targeted group **(1)** who may be interested in the product or service **(1)**. **NB** Answers that list three ways of using social media with no explanation will get a maximum of 1 mark. **Accept any other appropriate response**.	**(3)**

Question Number	Answer	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a business benefit that comes from introducing TQM, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • One benefit is improved product quality **(1).** This is because everyone is working as a team **(1)** and so fewer mistakes are likely to be made **(1).** **NB** Answers that list three benefits of using TQM with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

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Type MS · Quality, quality control and competitive advantage

Answer 2 of 17 · Question 2 part a · 1 mark

2021 NOV · Paper 01 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • Option 1 – this would increase the awareness of *Artify Studio* to those in the Kampong Glam area. • Option 2 –this can allow a business to become known to a wider market of artists. **AO3** • Option 1 – They could use this as an opportunity to advertise the different services they offer to local artists. • Option 2 – They can approach artists from all over the country to find out what the needs of those artists are and consider what they can do to meet those needs. **AO4** • Option 1 – However, sponsorship can cost the business a lot depending on the size of the art show and this could be a cost that the business cannot afford. • Option 2 – However, it would mean taking time out of the business and it may not bring in new customers or improve its image if the exhibition was poorly attended.	**(9)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Quality, quality control and competitive advantage

Answer 2 of 17 · Question 2 part a · 1 mark

2021 NOV · Paper 01 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

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Type MS · Quality, quality control and competitive advantage

Answer 2 of 17 · Question 2 part a · 1 mark

2021 NOV · Paper 01 · extract 5 of 5 · find part a in this mark scheme extract

Question Number	Answer	Mark

Type MS · Quality, quality control and competitive advantage

Answer 3 of 17 · Question 2 part b · 1 mark

2022 JUN · Paper 01 (regional R) · extract 1 of 6 · find part b in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid impact that government legislation may have on *Can Culleretes* in the context of *Can Culleretes.* • The chefs may need to be retrained to stay up to date with new health and safety regulations **(1)** **NB:** Do not accept an impact that is not in the context of *Can Culleretes.* **Accept any other appropriate response**.	**(1)**

Question Number	State **one** way *Can Culleretes* might add value to its business. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid way *Can Culleretes* might add value in the context of *Can Culleretes*. • *Can Culleretes* can use high quality organic vegetables in its Mediterranean food **(1)** **NB:** Do not accept a method that is not in the context of *Can Culleretes.* **Accept any other appropriate response.**	**(1)**

Type MS · Quality, quality control and competitive advantage

Answer 3 of 17 · Question 2 part b · 1 mark

2022 JUN · Paper 01 (regional R) · extract 2 of 6 · find part b in this mark scheme extract

Question Number	Explain **one** method a business could use to encourage repeat purchase of its products **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a method a business could use to encourage repeat purchase of its products, plus 2 further marks for explaining this method, for a maximum of 3 marks. • Issue loyalty cards **(1)** which could be used to offer special discounts **(1)** leading to customers being motivated to return to the business rather than its competitors **(1)** NB Answers that list three methods with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Explain **one** disadvantage of using personal savings as a source of finance for a business. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of a disadvantage of using personal savings as a source of finance, plus 2 further marks for explaining this disadvantage, for a maximum of 3 marks. • Money to deal with an emergency may not be available **(1)** so there is no backup if things go wrong **(1)** meaning that it may be necessary to find another source of finance **(1)** **NB** Answers that list three disadvantages with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Type MS · Quality, quality control and competitive advantage

Answer 3 of 17 · Question 2 part b · 1 mark

2022 JUN · Paper 01 (regional R) · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Explain **one** benefit for a business of motivating its employees. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for the identification of a benefit of motivating employees, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • Retention of employees **(1)** avoids spending time and money on recruitment **(1)** allowing the business to concentrate elsewhere **(1)** NB Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Quality, quality control and competitive advantage

Answer 3 of 17 · Question 2 part b · 1 mark

2022 JUN · Paper 01 (regional R) · extract 4 of 6 · find part b in this mark scheme extract

Question Number	*Can Culleretes* is looking to improve its revenue and is considering two options. Option 1: increase advertising Option 2: opening for breakfast. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – An increase in advertising can reach new customers and tourists visiting Barcelona • **Option 2** – By opening for breakfast Montserrat and Alicia can attract existing and new customers **AO3** • **Option 1** – This method can improve its revenue by drawing in new customers who may not have heard the restaurant before • **Option 2** – This method may make the restaurant stand out as it is offering something it has not done before in its long history **AO4** • **Option 1** – However, it depends on the method of advertising as it can be expensive so although revenue may improve it will be a cost for the business • **Option 2** – However, as it is only a small restaurant they may need to employ more staff as well but this could lead to an increase in costs	**(9)**

Type MS · Quality, quality control and competitive advantage

Answer 3 of 17 · Question 2 part b · 1 mark

2022 JUN · Paper 01 (regional R) · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Quality, quality control and competitive advantage

Answer 3 of 17 · Question 2 part b · 1 mark

2022 JUN · Paper 01 (regional R) · extract 6 of 6 · find part b in this mark scheme extract

Question Number	Answer	Mark
	Define the term **non-current assets.**	

Type MS · Quality, quality control and competitive advantage

Answer 4 of 17 · Question 1 part d · 1 mark

2022 JUN · Paper 01 · extract 1 of 6 · find part d in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B – Niche marketing** **A –** this is not correct because it is a form of promotion to the whole market **C** – this is not correct because it is a percentage that the business has of a specific market **D** – this is not correct because it is the activity of gathering information about conditions affecting a market	**(1)**

Question Number	Which **one** of the following is a financial aim for a business? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A - Survival** **B –** this is not correct because it is a non-financial aim **C –** this is not correct because it is a non-financial aim **D –** this is not correct because it is a non-financial aim	**(1)**

Question Number	Which **one** of the following is a variable cost? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D – Raw materials** **A** – this is not correct because it is a fixed cost **B** – this is not correct because it is a fixed cost **C** – this is not correct because it is a fixed cost	**(1)**

Type MS · Quality, quality control and competitive advantage

Answer 4 of 17 · Question 1 part d · 1 mark

2022 JUN · Paper 01 · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Which **one** of the following is a role of the production function? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is B – Quality control** **A –** this is not correct because it is a role of the human resources function **C –** this is not correct because it is a role of the marketing function **D –** this is not correct because it is a role of the human resources function	**(1)**

Question Number	Which **one** of the following is the markup on the packs of balloons? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is D – 134.72 %** **A –** this is not correct because it is the cost of the balloon pack **B –** this is not correct because it is the profit of the balloon pack **C –** this is not correct because it is the profit x cost of the balloon pack	**(1)**

Question Number	Which **one** of the following would a customer in Malaysia pay in MYR for 4 balloon packs? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is D – 206.18 MYR** **A –** this is not correct because it is the price of one balloon pack **B –** this is not correct because it is the price of four balloon packs in Singapore Dollars divided by 3.05 **C –** this is not correct because it is the price of four balloon packs	**(1)**

Type MS · Quality, quality control and competitive advantage

Answer 4 of 17 · Question 1 part d · 1 mark

2022 JUN · Paper 01 · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Define the term **primary sector.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of primary sector. • The extraction of raw materials from the earth **(1)**.	**(1)**

Question Number	Define the term **diseconomies of scale.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of diseconomies of scale. • When the average unit cost increases due to the growth of a business **(1).**	**(1)**

Question Number	State **one** factor *TBTS* should consider when selecting its manufacturers. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a factor *TBTS* should consider when selecting its manufacturers in the context of *TBTS*. • *TBTS* should select manufacturers that produce toys in an environmentally friendly way **(1)**. **NB** Do not accept a factor that is not in the context of *TBTS* **Accept any other appropriate response.**	**(1)**

Type MS · Quality, quality control and competitive advantage

Answer 4 of 17 · Question 1 part d · 1 mark

2022 JUN · Paper 01 · extract 4 of 6 · find part d in this mark scheme extract

Question Number	Calculate the total costs for *TBTS*. **Answer**	**Additional guidance**	**Mark**
1 (e)	Calculate the total costs for *TBTS*. **A02 - 2 marks** 555.31 + (0.93 x 160) **(1)** = 704.11 **(1)**	 Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** advantage of being a sole trader. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an advantage of being a sole trader, plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • Sole traders have full control of their business **(1)** this means they can run the business how they want **(1)** without having to consult with anyone when making decisions **(1)** **NB** Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Quality, quality control and competitive advantage

Answer 4 of 17 · Question 1 part d · 1 mark

2022 JUN · Paper 01 · extract 5 of 6 · find part d in this mark scheme extract

Question Number	Analyse the likely impact of external factors on business decisions made by *TBTS*. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Social factors can help *TBTS* as changes in society shows customers might be demanding more environmentally friendly toys • Technological advances could increase the cost of buying or the price of a range of toys **AO3** • This will make TBTS more competitive and bring more customers into the toy shops as they are acting in a responsible way for the environment whilst selling high quality goods • If the technology in toys increases rapidly then TBTS could be left with unwanted stock as customers buy the newer toys	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Quality, quality control and competitive advantage

Answer 4 of 17 · Question 1 part d · 1 mark

2022 JUN · Paper 01 · extract 6 of 6 · find part d in this mark scheme extract

Question Number	State **one** way *TBTS* can measure its success as a business **Answer**	**Mark**

Type MS · Quality, quality control and competitive advantage

Answer 5 of 17 · Question 1 part c · 1 mark

2023 JUN · Paper 02 · extract 1 of 7 · find part c in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **C** Survival **A** - is incorrect as challenge is a non-financial objective **B** - is incorrect as social objectives is a non-financial objective **D** - is incorrect as personal satisfaction is a non-financial objective	**(1)**

Question Number	Which **one** of the following is an advantage to a business of using venture capital? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** The only correct answer is **D** It can receive expert advice **A** - is incorrect as venture capital increases access to other sources of finance **B** - is incorrect as venture capital does not keep ownership within the business **C** - is incorrect as public relations is not affected by venture capital	**(1)**

Question Number	Which **one** of the following would be the cost to *IKEA* for 1,000 loads in Swedish Krona? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** The only correct answer is **D** 129 955.00 SEK **A** - is incorrect 1 000 ÷ 6.58 = 151.98 SEK **B** – is incorrect 19.75 x 1 000 ÷ 6.58 = 3 001.52 SEK **C** - is incorrect 19.75 x 1 000 = 19 750 SEK	**(1)**

Type MS · Quality, quality control and competitive advantage

Answer 5 of 17 · Question 1 part c · 1 mark

2023 JUN · Paper 02 · extract 2 of 7 · find part c in this mark scheme extract

Question Number	Which **one** of the following is the correct markup? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** The only correct answer is **C** 15.79**%** **A** is incorrect because 4 400 ÷ 3 800 = 1.16% **B** is incorrect because 4 400 – 3 800 = 600 ÷ 4 400 x 100 = 13.64% **D** is incorrect because 4 400 ÷ 3 800 x 100 = 115.79%	**(1)**

Question Number	Which **one** of the following is Phase 3 of the product life cycle? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** The only correct answer is **D** Maturity **A** is incorrect because phase 4 is decline **B** is incorrect because phase 2 is growth **C** is incorrect because phase 1 is introduction	**(1)**

Question Number	Which **one** of the following are equal in a break-even graph? **Answer**	Mark
1 (a)(vi)	**AO1 - 1 mark** The only correct answer is **D** Total costs and revenue **A** is incorrect because fixed and variable costs do not indicate the revenue **B** is incorrect because fixed costs and revenue do not take into account variable costs **C** is incorrect because total costs and fixed costs do not take into account revenue	**(1)**

Type MS · Quality, quality control and competitive advantage

Answer 5 of 17 · Question 1 part c · 1 mark

2023 JUN · Paper 02 · extract 3 of 7 · find part c in this mark scheme extract

Question Number	Define the term **person specification.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **person specification.** • Details of the qualifications, experience in the person appointed **(1)**	**(1)**

Question Number	Define the term **quality control.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **quality control.** • A product or service that meets the standard set by the business **(1)**	**(1)**

Type MS · Quality, quality control and competitive advantage

Answer 5 of 17 · Question 1 part c · 1 mark

2023 JUN · Paper 02 · extract 4 of 7 · find part c in this mark scheme extract

Question Number	State **one** reason why *IKEA* provides induction training for new employees. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of why *IKEA* provides induction training for new employees in the context of the business. • New employees are made familiar with the furniture they will be selling in their own *IKEA* stores **(1)** • Staff will know how to show customers how the flat packs for sale are assembled **(1)** **NB** Do not accept a reason that is not in the context of *IKEA.* **Accept any other appropriate response.**	**(1)**

Question Number	Calculate to 2 decimal places the gross profit margin for 2020. **Answer**	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 11 725/37 368 x 100 **(1)** = 31.38 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Quality, quality control and competitive advantage

Answer 5 of 17 · Question 1 part c · 1 mark

2023 JUN · Paper 02 · extract 5 of 7 · find part c in this mark scheme extract

Question Number	Explain **one** reason why businesses want to use resources effectively in manufacturing. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for a reason why businesses want to use resources effectively plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Being effective in the use of resources reduces waste **(1)** this could decrease the amount of inventory held **(1)** thus lowering the expenses of the business **(1)** • If a business uses fewer machines to manufacture goods **(1)** this will make the business more efficient **(1)** allowing for greater productivity **(1)** **NB** No marks are awarded for a definition. Answers that list two reasons with no explanation will gain 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Quality, quality control and competitive advantage

Answer 5 of 17 · Question 1 part c · 1 mark

2023 JUN · Paper 02 · extract 6 of 7 · find part c in this mark scheme extract

Question Number	Analyse the benefits to *IKEA* of all its stores being franchises. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Franchises allow *IKEA* to sell its flat pack products of tables and wardrobes throughout the world • All franchisees pay a percentage of their profit to *IKEA* for the use of its name and furniture **AO3** • *IKEA* benefits because it has many retail stores selling furniture, creating wealth for the business • This allows *IKEA* to gain revenue from every franchised store making it more successful	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Quality, quality control and competitive advantage

Answer 5 of 17 · Question 1 part c · 1 mark

2023 JUN · Paper 02 · extract 7 of 7 · find part c in this mark scheme extract

Question Number	State **one** reason why *IKEA* would employ temporary staff. **Answer**	**Mark**

Type MS · Quality, quality control and competitive advantage

Answer 6 of 17 · Question 2 part b · 1 mark

2025 NOV · Paper 02 · extract 1 of 6 · find part b in this mark scheme extract

2 (a)	**AO2 – 1 mark** Award 1 mark for a reason why *Samsung* may need long term finance. • To fund the research and development of new smartphones **(1)** • To build a new factory to manufacture laptops **(1)** **NB** Do not accept a reason that is not in the context of *Samsung*. Accept any appropriate response.	**(1)**

Q. No.	State **one** reason why quality control is a benefit to *Samsung* **Answer**	**Mark**
2 (b)	**AO2 – 1 mark** Award 1 mark for a valid reason why quality control is a benefit to *Samsung* • Poor quality laptops are likely to be detected before they are shipped to customers **(1)** **NB** Do not accept a reason that is not in the context of *Samsung*. Accept any appropriate response.	**(1)**

11

Type MS · Quality, quality control and competitive advantage

Answer 6 of 17 · Question 2 part b · 1 mark

2025 NOV · Paper 02 · extract 2 of 6 · find part b in this mark scheme extract

Q. No.	Explain **one** advantage to a business of having a social objective. **Answer**	**Mark**
2 (c)	**AO1 – 3 marks** Award 1 mark for identification of an advantage to a business of having a social objective , plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • The business can gain a good reputation **(1)** from creating a positive impact on society **(1)** resulting in more potential customers **(1)** • The business may attract employees **(1)** who are interesting in environmental problems **(1)** leading to a wider pool of talent/skills in the business **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get a 1 mark only. Accept any appropriate response.	**(3)**

Q. No.	Explain **one** limitation of a break-even chart. **Answer**	**Mark**
2 (d)	**AO1 – 3 marks** Award 1 mark for identification of one limitation of a break-even chart plus 2 further marks for explaining the limitations, for a maximum of 3 marks. • Break-even is based on predictions **(1)** which may result in incorrect forecast **(1)** leading to wasted resources **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get a 1 mark only. Accept any appropriate response.	**(3)**

12

Type MS · Quality, quality control and competitive advantage

Answer 6 of 17 · Question 2 part b · 1 mark

2025 NOV · Paper 02 · extract 3 of 6 · find part b in this mark scheme extract

Q. No.	Explain **one** benefit to a business of being located within a trading bloc. **Answer**	Mark
2 (e)	**AO1 – 3 marks** Award 1 mark for identification of one benefit to a business of being located within a trading bloc, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • There is the potential for a business to increase sales **(1)** because a trading bloc encourages trade between member countries **(1)** therefore a business has a wider pool of customers **(1)** • Costs of imported materials may decrease for the business **(1)** as tariffs are likely to be reduced or eliminated in the trading bloc **(1)** allowing the business to potentially increase its profits **(1)** **NB** No marks are awarded for a definition. Answers that list three effects with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

13

Type MS · Quality, quality control and competitive advantage

Answer 6 of 17 · Question 2 part b · 1 mark

2025 NOV · Paper 02 · extract 4 of 6 · find part b in this mark scheme extract

Q. No.	**Option 1:** Sponsor celebrities to use its products **Option 2:** Provide a free game app to customers when they purchase a product Justify which one of these two options *Samsung* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – *Samsung* could pay fees to a celebrity for using its smartphones as a way of getting publicity for its products • **Option 2** – free game applications may encourage young people to buy a *Samsung* smartphone rather than one from *Apple* **AO3** • **Option 1** – People are influenced by celebrities and if they see their idols using the smartphone they may be encouraged to buy the same one • **Option 2** – Some consumers may perceive the free apps as an attractive special offer which may persuade them to choose the *Samsung* smartphone rather than any other alternative **AO4** • **Option 1** – However, if the person chosen by *Samsung* to advertise its products is involved in a scandal this may ruin the reputation of *Samsung* and lead to a decrease in demand • **Option 2** – However, some people will be more concerned with other features/apps on a smartphone and may not be attracted to the special offer of free games	**(9)**

Type MS · Quality, quality control and competitive advantage

Answer 6 of 17 · Question 2 part b · 1 mark

2025 NOV · Paper 02 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

15

Type MS · Quality, quality control and competitive advantage

Answer 6 of 17 · Question 2 part b · 1 mark

2025 NOV · Paper 02 · extract 6 of 6 · find part b in this mark scheme extract

Q. No.	Define the term **exporter.** **Answer**	Mark

Type MS · Quality, quality control and competitive advantage

Answer 7 of 17 · Question 2 part e · 3 marks

2021 NOV · Paper 01 · extract 1 of 5 · find part e in this mark scheme extract

Question Number	Answer	Mark
2 (a)	**A02 - 1 mark** Award 1 mark for a valid reason why *Artify Studio* would want to offer a high-quality service in the context of the business. • To encourage customers to come back and try other art sessions on offer **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (b)	**A02 - 1 mark** Award 1 mark for a valid advantage of using part-time employees in the context of the business. • It allows for flexibility when the studio is quiet and courses are not full **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a benefit to a business of being a partnership, plus 2 further marks for explaining this benefit for a business, for a maximum of 3 marks. • The business gains investment from each partner **(1)** increasing the capital available to the partnership **(1)** which can help the business to expand **(1).** **NB** Answers that list three benefits of being a partnership with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Quality, quality control and competitive advantage

Answer 7 of 17 · Question 2 part e · 3 marks

2021 NOV · Paper 01 · extract 2 of 5 · find part e in this mark scheme extract

Question Number	Answer	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of a way social media can be used by a business, plus 2 further marks for explaining this way, for a maximum of 3 marks. • Creating a targeted advertising campaign **(1)** where the business can send a specific advert to a targeted group **(1)** who may be interested in the product or service **(1)**. **NB** Answers that list three ways of using social media with no explanation will get a maximum of 1 mark. **Accept any other appropriate response**.	**(3)**

Question Number	Answer	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a business benefit that comes from introducing TQM, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • One benefit is improved product quality **(1).** This is because everyone is working as a team **(1)** and so fewer mistakes are likely to be made **(1).** **NB** Answers that list three benefits of using TQM with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Quality, quality control and competitive advantage

Answer 7 of 17 · Question 2 part e · 3 marks

2021 NOV · Paper 01 · extract 3 of 5 · find part e in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • Option 1 – this would increase the awareness of *Artify Studio* to those in the Kampong Glam area. • Option 2 –this can allow a business to become known to a wider market of artists. **AO3** • Option 1 – They could use this as an opportunity to advertise the different services they offer to local artists. • Option 2 – They can approach artists from all over the country to find out what the needs of those artists are and consider what they can do to meet those needs. **AO4** • Option 1 – However, sponsorship can cost the business a lot depending on the size of the art show and this could be a cost that the business cannot afford. • Option 2 – However, it would mean taking time out of the business and it may not bring in new customers or improve its image if the exhibition was poorly attended.	**(9)**

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Type MS · Quality, quality control and competitive advantage

Answer 7 of 17 · Question 2 part e · 3 marks

2021 NOV · Paper 01 · extract 4 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Quality, quality control and competitive advantage

Answer 7 of 17 · Question 2 part e · 3 marks

2021 NOV · Paper 01 · extract 5 of 5 · find part e in this mark scheme extract

Question Number	Answer	Mark

Type MS · Quality, quality control and competitive advantage

Answer 8 of 17 · Question 2 part e · 3 marks

2023 JUN · Paper 02 (regional R) · extract 1 of 8 · find part e in this mark scheme extract

	Answer	
2 (a)	**A02 - 1 mark** Award 1 mark for a valid non-financial objective for *M&M* in the context of the business. • *M&M* may want to continue to help the environment by planting even more trees **(1)** • *M&M* want to maintain the support it gives to the schools it runs, helping disadvantaged children **(1)** **NB** Do not accept a non-financial objective that is not in the context of *M&M.* **Accept any other appropriate response.**	**(1)**

Type MS · Quality, quality control and competitive advantage

Answer 8 of 17 · Question 2 part e · 3 marks

2023 JUN · Paper 02 (regional R) · extract 2 of 8 · find part e in this mark scheme extract

Question Number	State **one** reason why *M&M* could dismiss an employee. **Answer**	Mark
2 (b)	**A02 - 1 mark** Award 1 mark for a reason why *M&M* could dismiss an employee in the context of the business. • *M&M* might dismiss an employee who continually arrives late on the tractor production line **(1)** • *M&M* may dismiss an employee in the sales department of tractors, whose absence has caused a loss of orders **(1)** **NB** Do not accept a reason that is not in the context of *M&M.* **Accept any other appropriate response.**	**(1)**

Type MS · Quality, quality control and competitive advantage

Answer 8 of 17 · Question 2 part e · 3 marks

2023 JUN · Paper 02 (regional R) · extract 3 of 8 · find part e in this mark scheme extract

Question Number	Explain **one** reason why branding is important to businesses. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for why branding is important to businesses plus 2 further marks for explaining the importance, for a maximum of 3 marks. • Branding is important because it differentiates the products of a business from others **(1)** this helps customers identify the brand they want **(1)** and maintains loyalty **(1)** • By branding its products manufacturers develop a strong image of the business' product **(1)** this could increase the price of products **(1)** resulting in the strong brand being worth a great deal of money **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why branding is important to a business, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Quality, quality control and competitive advantage

Answer 8 of 17 · Question 2 part e · 3 marks

2023 JUN · Paper 02 (regional R) · extract 4 of 8 · find part e in this mark scheme extract

Question Number	Explain **one** way businesses ensure that all employees have equal opportunities. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a reason why businesses ensure that all employees have equal opportunities, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • Businesses ensure that they employ both men and women **(1)** and any training offered is open to everyone **(1)** so that they do not disadvantage any one **(1)** • Employees are paid the same salary **(1)** if they carry out the same or similar work **(1)** so that they do not discriminate in any way **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why business ensure that all employees have equal opportunities, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Quality, quality control and competitive advantage

Answer 8 of 17 · Question 2 part e · 3 marks

2023 JUN · Paper 02 (regional R) · extract 5 of 8 · find part e in this mark scheme extract

Question Number	Explain **one** reason why businesses maintain the quality of their products. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why businesses maintain the quality of their products plus 2 further marks for explaining why, for a maximum of 3 marks. • Consumers expect quality products **(1)** and to perform the function for which they were bought **(1)** failure to do this could lose customers to competitors **(1)** • By offering quality goods **(1)** a business could gain a competitive edge **(1)** which could result in charging higher prices **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons of why businesses maintain the quality of products with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Quality, quality control and competitive advantage

Answer 8 of 17 · Question 2 part e · 3 marks

2023 JUN · Paper 02 (regional R) · extract 6 of 8 · find part e in this mark scheme extract

Question Number	**Option 1:** Increase promotion of all vehicles **Option 2:** Make improvements to all vehicles. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – By increasing promotion more people will know about *M&M* and the different types of vehicles they have on sale • **Option 2** – By introducing new features to the cars such as an automatic door locking customers may be interested in **AO3** • **Option 1** – This could mean that more people would be interested and perhaps visit the showrooms where the vehicle are sold to try the vehicles out or purchase them • **Option 2** – Customers may prefer to have the latest technology available **AO4** • **Option 1** – However, there is no guarantee that people will buy the vehicles unless they have driven them or been recommended to buy one • **Option 2** – However, designing this feature could be expensive and customers may not wish to buy the vehicle because of the increase in price	**(9)**

Type MS · Quality, quality control and competitive advantage

Answer 8 of 17 · Question 2 part e · 3 marks

2023 JUN · Paper 02 (regional R) · extract 7 of 8 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Quality, quality control and competitive advantage

Answer 8 of 17 · Question 2 part e · 3 marks

2023 JUN · Paper 02 (regional R) · extract 8 of 8 · find part e in this mark scheme extract

Question Number	Define the term **autonomy.** **Answer**	Mark

Type MS · Quality, quality control and competitive advantage

Answer 9 of 17 · Question 2 part e · 3 marks

2025 JUN · Paper 01 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid financial method of motivation *CCT* could use with its employees. • Commission paid for each customer booked on a cycle tour **(1)** **NB** Do not accept a factor that is not in the context of *CCT.* **Accept any other appropriate response.**	**(1)**

Type MS · Quality, quality control and competitive advantage

Answer 9 of 17 · Question 2 part e · 3 marks

2025 JUN · Paper 01 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

Question Number	State **one** benefit to *CCT* of satisfying customer needs. **Answer**	Mark
2 (b)	**A02 - 1 mark** Award 1 mark for a valid benefit to *CCT* of satisfying customer needs. • Its customers will recommend the cycle tours to friends and family **(1)** **NB** Do not accept a benefit that is not in the context of *CCT*. **Accept any other appropriate response.**	**(1)**

Question Number	Explain **one** way a business could increase its profit. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a way a business could increase its profit, plus 2 further marks for explaining this way, for a maximum of 3 marks. • Increase the price of the product **(1)** if customers feel the quality is high they may be willing to pay the new price **(1)** and if costs stay the same profit will increase **(1)** **NB** Answers that list three ways with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Quality, quality control and competitive advantage

Answer 9 of 17 · Question 2 part e · 3 marks

2025 JUN · Paper 01 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Explain **one** way that the introduction of tariffs might affect a business importing goods. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a way that the introduction of tariffs might affect a business importing goods, plus 2 further marks for explaining this impact, for a maximum of 3 marks. • Imported products will now become more expensive **(1)** because of the tax imposed on imports **(1)** which may lead to a decrease in sales for the importer **NB** Answers that list three impacts with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Question Number	Explain **one** reason why quality control is important to a business. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why quality control is importance to a business, plus 2 further marks for explaining that reason, for a maximum of 3 marks. • Improved customer satisfaction **(1)** as defects would be identified before goods are despatched to customers **(1)** leading to fewer returns from customers **(1)** **NB** Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Quality, quality control and competitive advantage

Answer 9 of 17 · Question 2 part e · 3 marks

2025 JUN · Paper 01 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

Question Number	The owner of *CCT* wants to measure the success of the business. The owner is considering two options: **Option 1:** customer satisfaction **Option 2:** profit Justify which **one** of these two options the owner of *CCT* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – Customer satisfaction will indicate to *CCT* how happy customers are with the level of the bicycle touring service • **Option 2** – a high level of profit will show *CCT* they can provide the bicycle tours at a cost which is lower than the price they are selling them for **AO3** • **Option 1** – Customer satisfaction would be a useful measure of success since it would tell *CCT* the strengths of its brand and what customer are happy with • **Option 2** – it would be a useful measure as it will show that the business is financially viable and it can cover any costs incurred **AO4** • **Option 1** – However, it is difficult to measure customer satisfaction accurately as it relies on customers leaving reviews and providing honest feedback of their experiences • **Option 2** – However, profit can be affected by short-term fluctuations in the market, making it difficult to measure success over a longer period of time	**(9)**

Type MS · Quality, quality control and competitive advantage

Answer 9 of 17 · Question 2 part e · 3 marks

2025 JUN · Paper 01 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Quality, quality control and competitive advantage

Answer 9 of 17 · Question 2 part e · 3 marks

2025 JUN · Paper 01 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Define the term **share capital.** **Answer**	Mark

Type MS · Quality, quality control and competitive advantage

Answer 10 of 17 · Question 2 part c · 3 marks

2025 JUN · Paper 01 · extract 1 of 6 · find part c in this mark scheme extract

2 (a)	**AO2 - 1 mark** Award 1 mark for a valid factor *Four Fitness* may consider that could influence the location of a new gym • The proximity to suitably qualified gym instructors who will want to work at the gym **(1)** **NB** Do not accept a factor that is not in the context of *Four Fitness*. **Accept any other appropriate response**.	**(1)**

Type MS · Quality, quality control and competitive advantage

Answer 10 of 17 · Question 2 part c · 3 marks

2025 JUN · Paper 01 · extract 2 of 6 · find part c in this mark scheme extract

Question Number	State **one** reason why branding is important to *Four Fitness.* **Answer**	Mark
2 (b)	**AO2 - 1 mark** Award 1 mark for a valid reason why branding is important to *Four Fitness.* • It makes the highly experienced gym instructors stand out against its competitors **(1)** **NB** Do not accept a reason that is not in the context of *Four Fitness.* **Accept any other appropriate response.**	**(1)**

Question Number	Explain **one** advantage to a business of using total quality management. **Answer**	Mark
2 (c)	**AO1 - 3 marks** Award 1 mark for identification of an advantage to a business of using total quality management, plus 2 further marks for explaining this advantage, for a maximum of 3 marks. • Increased customer satisfaction **(1)** as managing quality is the responsibility of all employees **(1)** so they will be fully trained to complete their role effectively and consistently **(1)** **NB** Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Quality, quality control and competitive advantage

Answer 10 of 17 · Question 2 part c · 3 marks

2025 JUN · Paper 01 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Explain **one** problem a business might face as a result of ineffective communication. **Answer**	Mark
2 (d)	**AO1 - 3 marks** Award 1 mark for a problem a business might face as a result of ineffective communication, plus 2 further marks for explaining this problem, for a maximum of 3 marks. • Employees may become demotivated as they do not understand what they have to do **(1)** leading to lower levels of productivity **(1)** and increased costs for the business **(1)** **NB** Answers that list three problems with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Question Number	Explain **one** disadvantage to a small business of borrowing money from a bank. **Answer**	Mark
2 (e)	**AO1 - 3 marks** Award 1 mark for a disadvantage to a small business of borrowing money from a bank, plus 2 further marks for explaining that disadvantage, for a maximum of 3 marks. • Borrowing from a bank means the business has to pay back the loan with interest **(1)** which will increase its costs **(1)** leading to a reduction in profit **(1)** **NB** Answers that list three disadvantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Quality, quality control and competitive advantage

Answer 10 of 17 · Question 2 part c · 3 marks

2025 JUN · Paper 01 · extract 4 of 6 · find part c in this mark scheme extract

Question Number	*Four Fitness* is looking to introduce a new service to increase its market share. It is considering two options. **Option 1:** as part of its monthly subscription price, members are given a 'Technogym Electronic Key' which is inserted into the gym equipment. The key will track and store their progress. An instructor helps them to analyse their progress. **Option 2:** introduce links to online fitness classes on its website which can be accessed from home. Customers will be charged for each fitness class downloaded. **Indicative content**	**Mark**
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – This can create a USP for the gym making it stand out from its competitors • **Option 2** – This will add an extra element to its website as it is currently for information only **AO3** • **Option 1** – This can draw new customers in as they will also have access to specialist face to face advice from the instructor as part of the membership package • **Option 2** – This may draw customers in from further away as they will not have to be on site to access the videos and if they feel it is worth it they are more likely to pay for more videos leading to an increase in market share **AO4** • **Option 1** – However, if customers do not want access to this service as part of their membership they may feel they are being overcharged and the gym could be at risk of losing customers to its competitors therefore decreasing its market share • **Option 2** – However, advertising costs will increase to widely draw in customers in as some may not want to pay for the videos if they can access free alternatives on the internet	**(9)**

Type MS · Quality, quality control and competitive advantage

Answer 10 of 17 · Question 2 part c · 3 marks

2025 JUN · Paper 01 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Quality, quality control and competitive advantage

Answer 10 of 17 · Question 2 part c · 3 marks

2025 JUN · Paper 01 · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Define the term **economies of scale.** **Answer**	Mark

Type MS · Quality, quality control and competitive advantage

Answer 11 of 17 · Question 4 part b · 6 marks

2021 NOV · Paper 02 · extract 1 of 5 · find part b in this mark scheme extract

4 (a)	**A02 - 2 marks** 5 353/6.70 **(1)** = 798.96 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

4BS1 02 November 2021

Type MS · Quality, quality control and competitive advantage

Answer 11 of 17 · Question 4 part b · 6 marks

2021 NOV · Paper 02 · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Analyse why *Huawei* would want good quality control when producing its smartphones. **Indicative content**	Mark
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • If *Huawei* gains a reputation for good quality products more customers are likely to purchase its smartphones • To repair faulty smartphones or tablets could be expensive for *Huawei* **AO3** • If the standard is not maintained then customers may not trust the reliability of the smartphones and may change to other brands • If customers have to wait for smartphones and tablets to be repaired this could give *Huawei* a bad reputation	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

4BS1 02 November 2021

Type MS · Quality, quality control and competitive advantage

Answer 11 of 17 · Question 4 part b · 6 marks

2021 NOV · Paper 02 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Evaluate why *Huawei* would carry out market research before designing a new product. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • Market research finds out what customers' needs and wants are • By carrying out market research *Huawei* will be able to make informed decisions as to actions it should take **AO2** • If *Huawei* produces a watch that very few customers want then it could waste a great deal of money • *Huawei* may decide to add additional features or reduce or increase the size of its smartphones from comments made by potential customers **AO3** • This could have a negative effect on *Huawei's* financial situation and also impact upon the development of other products such as tablets that *Huawei* makes and sells • This could help increase sales of tablets and smartphones and enable *Huawei* to remain competitive **AO4** • However, producing a watch that no other business is offering could mean that it sells more of the products and gains a competitive advantage • However, there is no guarantee that all the market research carried out is worthwhile as customers' tastes and needs are changing constantly in light of new technological developments	**(12)**

4BS1 02 November 2021

Type MS · Quality, quality control and competitive advantage

Answer 11 of 17 · Question 4 part b · 6 marks

2021 NOV · Paper 02 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1). • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	5– 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places (AO1). • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Quality, quality control and competitive advantage

Answer 11 of 17 · Question 4 part b · 6 marks

2021 NOV · Paper 02 · extract 5 of 5 · find part b in this mark scheme extract

Level 3	9–12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1). • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Quality, quality control and competitive advantage

Answer 12 of 17 · Question 4 part b · 6 marks

2024 NOV · Paper 02 · extract 1 of 6 · find part b in this mark scheme extract

4 (a)	**A02 - 2 marks** 1.76 **(2)** 1 mark for workings if correct answer not given 9 566/5 447 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**
Question Number	Analyse the importance of making sure that guests have a quality service when staying at a *Premier Inn*. **Indicative content**		**Mark**
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • If the reception staff at the hotel are helpful and accommodating to the guests, they are more likely to return • If the hotel room has all the amenities that guests require such as tea and coffee facilities **AO3** • Which could increase the number of bookings and the potential profit for *Premier Inn* • Guests may tell friends and family about the excellent facilities and service they received whilst staying at the *Premier Inn*		**(6)**

Type MS · Quality, quality control and competitive advantage

Answer 12 of 17 · Question 4 part b · 6 marks

2024 NOV · Paper 02 · extract 2 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Quality, quality control and competitive advantage

Answer 12 of 17 · Question 4 part b · 6 marks

2024 NOV · Paper 02 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Evaluate why a business such as *Premier Inn* would only consider profit to measure its success. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • The more profit that is made from each *Premier Inn* will show how successful they are • Profit signifies if the total revenue of the business exceeds the total costs • **AO2** • *Premier Inn* will be able to see how much profit each hotel is making and compare it to other hotels • *Premier Inn* is planning to open more hotels in different parts of the world and will be able to see if these new hotels are making a profit **AO3** • By comparing the profit from each of the *Premier Inn*'s it can use the profit to develop or increase the size of certain hotels • By planning to open more hotels this shows how successful the business is with guests who return to stay **AO4** • However, an increase in profit is dependent upon many factors outside the control of *Premier Inn*, such as travel restrictions that stop people from travelling • However, there are other ways to measure business success such as market share and customer satisfaction, which might be as equally important as financial measures	**(12)**

Type MS · Quality, quality control and competitive advantage

Answer 12 of 17 · Question 4 part b · 6 marks

2024 NOV · Paper 02 · extract 4 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Quality, quality control and competitive advantage

Answer 12 of 17 · Question 4 part b · 6 marks

2024 NOV · Paper 02 · extract 5 of 6 · find part b in this mark scheme extract

Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Quality, quality control and competitive advantage

Answer 12 of 17 · Question 4 part b · 6 marks

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Type MS · Quality, quality control and competitive advantage

Answer 13 of 17 · Question 4 part c · 12 marks

2021 JUN · Paper 02 · extract 1 of 6 · find part c in this mark scheme extract

4 (a)	**A02 - 2 marks** 590 ÷ 4 221 x 100 **(1)** = 13.98 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Quality, quality control and competitive advantage

Answer 13 of 17 · Question 4 part c · 12 marks

2021 JUN · Paper 02 · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Analyse the effects for *NEXT* of an increase in UK interest rates. Indicative content	Mark
4 (b)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • If the interest rate rises then consumers will spend less on items such as clothing from *NEXT* • Consumers are less likely to purchase *NEXT* furniture on credit. **AO3** • This could lead to a reduction in sales for *NEXT* which could have an impact on its profits • This could lead to *NEXT* not being able to sell its inventory	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Quality, quality control and competitive advantage

Answer 13 of 17 · Question 4 part c · 12 marks

2021 JUN · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Evaluate the importance for *NEXT* of maintaining quality throughout all of its manufacturing processes. Indicative content	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • Consumers who purchase clothes expect quality goods • Quality of products give a business a good reputation **AO2** • *NEXT* provide quality furniture and fashionable dress for customer to buy • A poor reputation may mean that *NEXT* attracts fewer customer to its worldwide shops **AO3** • *NEXT* will have to ensure that all manufacturers of their clothes and furniture, maintain the same standard throughout 70 countries • *NEXT* may have to close some of its shops which would reduce the number of its outlets and sales **AO4** • However, maintaining this standard is expensive as the production of clothes and furniture will need constant inspection to ensure that the items are of the quality set • However, once a poor reputation for quality is gained amongst customers for clothes or furniture it is very hard to regain their loyalty	**(12)**

Type MS · Quality, quality control and competitive advantage

Answer 13 of 17 · Question 4 part c · 12 marks

2021 JUN · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1). • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	5-8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places (AO1). • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of c business information and issues relevant to the choice made (AO4).

Type MS · Quality, quality control and competitive advantage

Answer 13 of 17 · Question 4 part c · 12 marks

2021 JUN · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

Level 3	9-12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1). • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Quality, quality control and competitive advantage

Answer 13 of 17 · Question 4 part c · 12 marks

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Type MS · Quality, quality control and competitive advantage

Answer 14 of 17 · Question 4 part c · 12 marks

2024 JUN · Paper 02 · extract 1 of 6 · find part c in this mark scheme extract

4 (a)	**A02 - 2 marks** 57 498 – 39 631 = 17 867 17 867 ÷ 39 631 x 100 **(1)** = 45.08 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Type MS · Quality, quality control and competitive advantage

Answer 14 of 17 · Question 4 part c · 12 marks

2024 JUN · Paper 02 · extract 2 of 6 · find part c in this mark scheme extract

Q. No.	Analyse how *TUI* could make use of the Boston Matrix to review all the different holidays it offers. **Indicative content**	Mark
4 (b)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • By *TUI* using the Boston Matrix they can use the 'Star' to decide which are the most profitable holidays in Turkey • *TUI* will keep a 'Cash Cow' such as a 14-day cruise experience on their books because it generates a steady flow of income for the business **AO3** • If some of the holidays or hotels in parts of Turkey are not as profitable as others, they could stop using that hotel and find another one • This will allow *TUI* to use the increased revenue to expand by offering different holiday experiences	**(6)**

Type MS · Quality, quality control and competitive advantage

Answer 14 of 17 · Question 4 part c · 12 marks

2024 JUN · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2**) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Quality, quality control and competitive advantage

Answer 14 of 17 · Question 4 part c · 12 marks

2024 JUN · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

Q. No.	Evaluate the benefits for *TUI* of providing a quality service. You should use the information provided as well as your own knowledge of business.	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO1** • When booking a holiday, customers expect a good standard of hotels and holidays together with good service • A variety of different types of holidays and experiences are needed to encourage more customers **AO2** • If *TUI*'s holidays and experiences are good then customers are more likely to return and book further holidays and hotels • If *TUI* does not provide a variety of different opportunities for hiring a variety of cars **AO3** • They are more likely to then recommend *TUI* to their friends and family who may be encouraged to book holidays with them • They may then look at other businesses to see what type of car rentals they are offering **AO4** • However, ensuring that all customers receive a good holiday experience may be expensive in employing sufficient employees to meet their needs • However, once a poor reputation for car hire or lack of variety is gained amongst customers it is very hard to regain their loyalty	**(12)**

Type MS · Quality, quality control and competitive advantage

Answer 14 of 17 · Question 4 part c · 12 marks

2024 JUN · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Quality, quality control and competitive advantage

Answer 14 of 17 · Question 4 part c · 12 marks

2024 JUN · Paper 02 · extract 6 of 6 · find part c in this mark scheme extract

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Type MS · Quality, quality control and competitive advantage

Answer 15 of 17 · Question 4 part c · 12 marks

2024 NOV · Paper 01 · extract 1 of 6 · find part c in this mark scheme extract

4 (a)	**AO2 - 2 marks** **1.14 (2)** If correct answer not given then award workings as follows: 12 – 4 = 8 **(1)** 8/7 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse the benefits for *Saha* of becoming a multinational business. **Indicative content**	**Mark**
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • As a multinational, *Saha* would manufacture its robots for hotels and restaurants in other continents of the world • *Saha* could benefit from producing robots to help with cleaning and shopping for the home to a wider target market **AO3** • *Saha* may benefit from economies of scale by producing a higher number of robots which may lower its average unit costs and improve its competitiveness • Which could increase the number of robots sold and the profitability of *Saha*	**(6)**

Type MS · Quality, quality control and competitive advantage

Answer 15 of 17 · Question 4 part c · 12 marks

2024 NOV · Paper 01 · extract 2 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Quality, quality control and competitive advantage

Answer 15 of 17 · Question 4 part c · 12 marks

2024 NOV · Paper 01 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Evaluate the effects on *Saha* of introducing Total Quality Management (TQM) to its business. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • TQM should ensure that the robots are manufactured without any faults • TQM involves training every employee in quality assurance to reduce waste and costs **AO2** • If the robots are subject to quality checks throughout the production process, they should be delivered to the restaurants with no defects • Successful training of each employee should lead to a reduction in waste in the production of the new robots build for the home **AO3** • This may improve the reputation of *Saha* and attract more customers to buy the robots, increasing the revenue for its business • Trained employees who are focussed on quality should result in zero defects of robots to ensure Saha meets their objective of making the robots long lasting **AO4** • However, TQM involves disruption to the manufacturing facility as new processes are introduced which could cause delays /late deliveries of robots to the hotels and hospital customers • However, the cost of training all employees in TQM takes time and is costly which could reduce profitability in the short term and increase the price of the robots making *Saha* uncompetitive in the robot market	**(12)**

Type MS · Quality, quality control and competitive advantage

Answer 15 of 17 · Question 4 part c · 12 marks

2024 NOV · Paper 01 · extract 4 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Quality, quality control and competitive advantage

Answer 15 of 17 · Question 4 part c · 12 marks

2024 NOV · Paper 01 · extract 5 of 6 · find part c in this mark scheme extract

Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Quality, quality control and competitive advantage

Answer 15 of 17 · Question 4 part c · 12 marks

2024 NOV · Paper 01 · extract 6 of 6 · find part c in this mark scheme extract

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Type MS · Quality, quality control and competitive advantage

Answer 16 of 17 · Question 4 part c · 12 marks

2019 JUN · Paper 02 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

4 (a)	**AO2 = 2 marks** 13.75 x 14 000 **(1)** = 192 500 192 500 – 154 700 = 37 800 **(1)** **OR** 13.75 – 11.05 **(1)** = 2.7 2.7 x 14 000 = 37 800 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Quality, quality control and competitive advantage

Answer 16 of 17 · Question 4 part c · 12 marks

2019 JUN · Paper 02 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
4 (b)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Customers may make negative comments about the clothes purchased. • Customers may not want to buy clothes because of the reviews posted. **AO3** • The impact of negative comments on clothes purchased might be a decrease in the sale of that type of clothing leading to excess stock. • *Yellow* may lose customers and sales due to the comments made on social media, without customers seeing the clothes.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Quality, quality control and competitive advantage

Answer 16 of 17 · Question 4 part c · 12 marks

2019 JUN · Paper 02 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • Customers buy *Yellow* clothing because they offer a wide variety of clothing. • *Yellow* has low manufacturing costs. **AO2** • It offers clothing for all the family with different price ranges. • It gains a competitive advantage because it responds quickly to the change in the fashion market demanded by its customers. **AO3** • Customers want clothing that is sold at a reasonable price and the whole family can shop at one store without going to other stores. • By having a quick response to changes in demand it is ahead of its competitors. **AO4** • However, not all members of the family have the same taste and some may prefer different styles of clothing that *Yellow* offer. • Not all customers are driven by fashion changes and many would want clothing that would last a number of years.	**(12)**

Type MS · Quality, quality control and competitive advantage

Answer 16 of 17 · Question 4 part c · 12 marks

2019 JUN · Paper 02 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1). • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places (AO1). • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Quality, quality control and competitive advantage

Answer 16 of 17 · Question 4 part c · 12 marks

2019 JUN · Paper 02 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1). • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

4 (a)	**A02 - 2 marks** 34 946 ÷ 12 763 **(1)** = 2.74 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse the benefits to *LEGO* of increasing the use of robotics in the manufacture of toys and games. **Indicative content**	**Mark**
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • Increasing the use of robotics reduces human error in the production of Princess Leia toys • Robotics increases the number of pineapple pencil holders that can be made **AO3** • This means that there will be fewer toys rejected as there will be fewer faults in the manufacture of them • Production rate increases which reduces the manufacturing costs •	**(6)**

Type MS · Quality, quality control and competitive advantage

Answer 17 of 17 · Question 4 part c · 12 marks

2022 JUN · Paper 02 · extract 2 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Quality, quality control and competitive advantage

Answer 17 of 17 · Question 4 part c · 12 marks

2022 JUN · Paper 02 · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Evaluate how *LEGO* has maintained a competitive advantage in the making of toys and games. **Indicative content**	**Mark**
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • Customers purchase *LEGO* toys and games because they are well known and have been trading for a long time • The toys made are of a good quality and should last for a long time **AO2** • *LEGO* has achieved 'Toy of the Century' twice meaning that people can rely on the products made • *LEGO* keeps up to date making toys to correspond to new films that are introduced such as Harry Potter **AO3** • As customers want to purchase toys and games that they know are reliable and well made • Fans of Harry Potter will want to purchase the new *LEGO* toys to play with **AO4** • However, there is no guarantee that customers will buy some of the products because they are expensive and may want a cheaper product • However, if the film is not a success, then the toys may not sell and *LEGO* will have wasted the time and investment in producing the toys	**(12)**

Type MS · Quality, quality control and competitive advantage

Answer 17 of 17 · Question 4 part c · 12 marks

2022 JUN · Paper 02 · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Quality, quality control and competitive advantage

Answer 17 of 17 · Question 4 part c · 12 marks

2022 JUN · Paper 02 · extract 5 of 5 · find part c in this mark scheme extract

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